



BITS Pilani
Hyderabad Campus



Business Analysis And Valuation Assignment Group - 37

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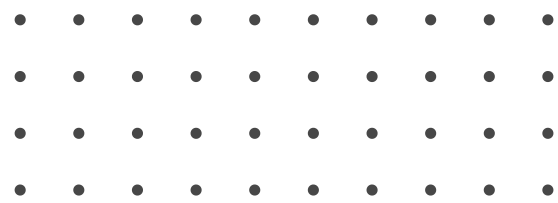
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ABOUT SRF LTD.

Mission & Vision:

Commitment to "Creating Value, the Sustainable Way" by fostering innovation and manufacturing excellence. SRF aims to offer superior products that impact lives and ecosystems globally while maintaining a responsible local presence.

Shareholding Pattern:

Promoters: 50.26%	Foreign Institutions: 17.98%
Retail and Others: 12.24%	Mutual Funds: 11.01%
Domestic Institutions: 8.51%	

Product Portfolio and Sector:

A diversified conglomerate with leadership in:
Fluorochemicals: Refrigerants and pharma propellants
Packaging Films: BOPET & BOPP Films
Technical Textiles: #1 in India for Nylon Tyre Cord Fabrics.

Industry Insights: India's specialty chemicals industry is experiencing strong growth driven by global outsourcing and rising pharmaceutical/agrochemical demand, while the packaging industry is expanding rapidly due to FMCG consumption, e-commerce and export growth—providing SRF with major structural growth opportunities, while demanding continued investment in innovation, sustainability and competitiveness.

Leadership:

The company's Board of Directors is led by Ashish Bharat Ram (Chairman & MD) with Arun Bharat Ram (Chairman Emeritus) along with a mix of executive and independent directors.

Competitors: Gujarat Fluorochemicals, Navin Fluorine, Aarti Industries, Uflex, Jindal Poly Films and Garware Polyester.

Stakeholders: suppliers of fluorine and polymer raw materials, global customers across pharma, agrochemicals, refrigeration, FMCG, and lenders such as banks and FIs.

Financial Highlights (FY 24):

Demonstrating resilience in a challenging global market:
Revenue: \$1.6B
Mkt Cap: \$10B



SRF IN1970

A 5x10 grid of dots. The top row is shaded gray, while the other four rows are white. All dots are black and of uniform size.

NPV
₹15,292.46 Cr
Growth Rate
5.85%

17.43%

₹19,272.16 Cr

NPV
₹15,691.38 Cr
Growth Rate
9.11%

18.05%

₹20,352.67 Cr

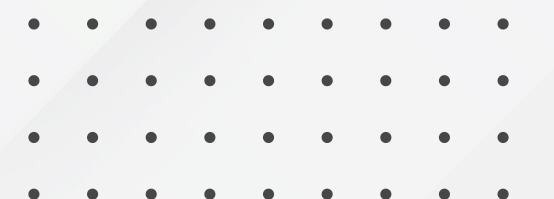
₹15,505.52 Cr

Key Valuation Metrics

- | | |
|--------------------------------|-----------------|
| • Industry EV/Revenue Multiple | 8.089x |
| • SRF Revenue (FY) | ₹14,826 Cr |
| • Outstanding Shares | 29.60 Cr |
| • Predicted EV Value | ₹11,9932.48 |
| • Predicted Fair Value | ₹3,932.62/share |
| • Current Share Price | ₹2.897/share |

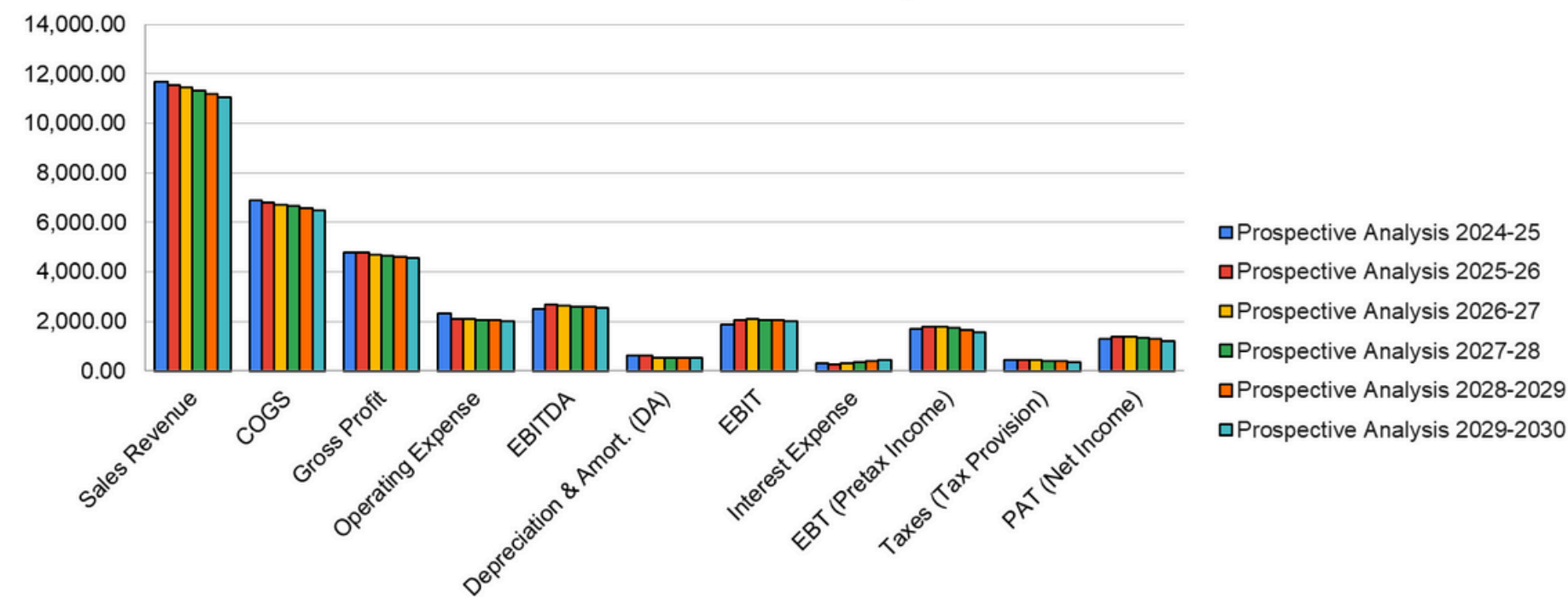
For relative valuation, three peer companies from the chemicals sector, Gujarat Fluorochemicals (8.77x), Navin Fluorine (13.25x), and Aarti Ind (2.24x) were used to set an industry average of 8.09x EV/Revenue. SRF Ltd's ratio of 6.09x is below this benchmark, highlighting the stock's undervaluation.

The NPV from FCFF and FCFE is almost the same which is expected but higher than the EV from Relative valuation which suggests that the company is performing better than expected when we take the relative valuation measure as a market benchmark.

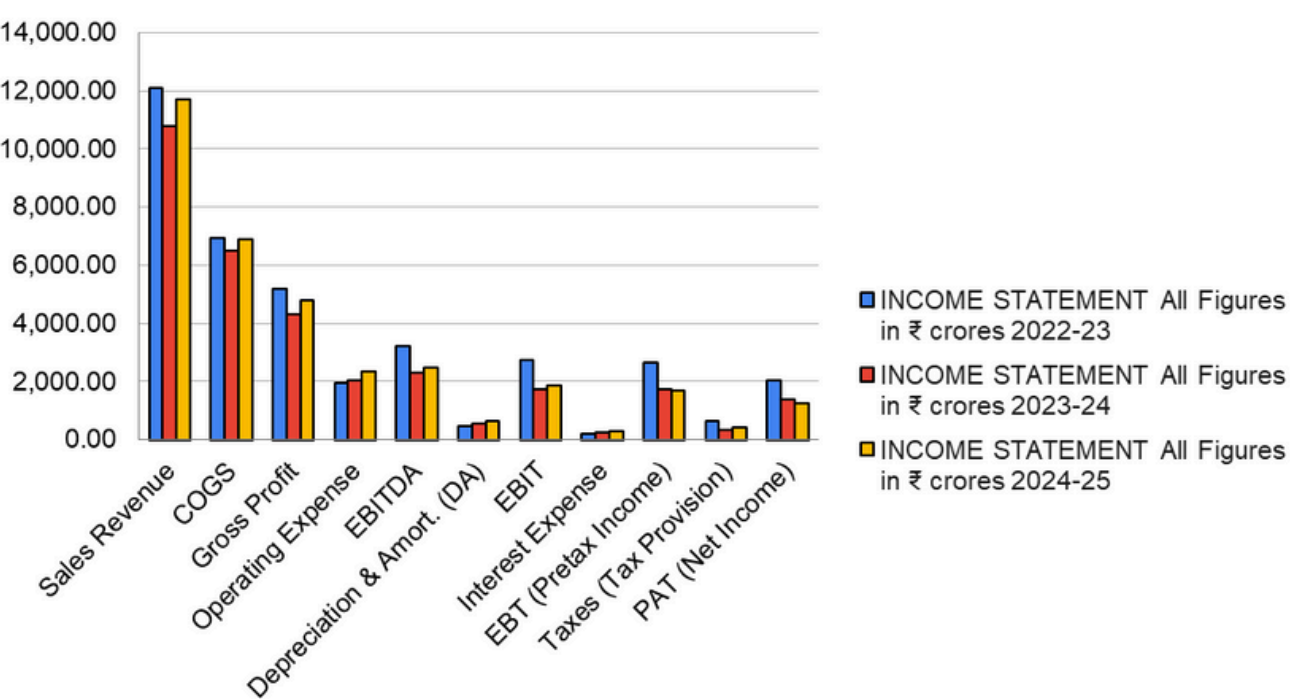


IMPORTANT GRAPHS

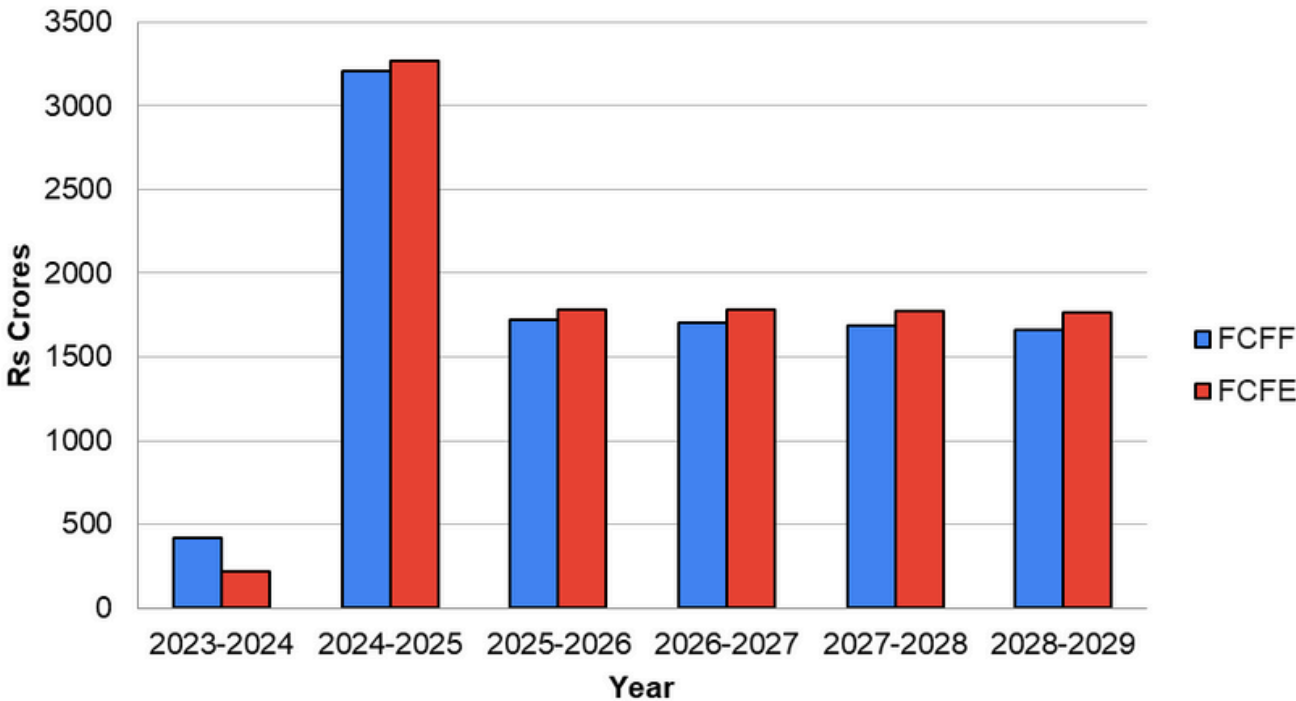
Prospective Analysis



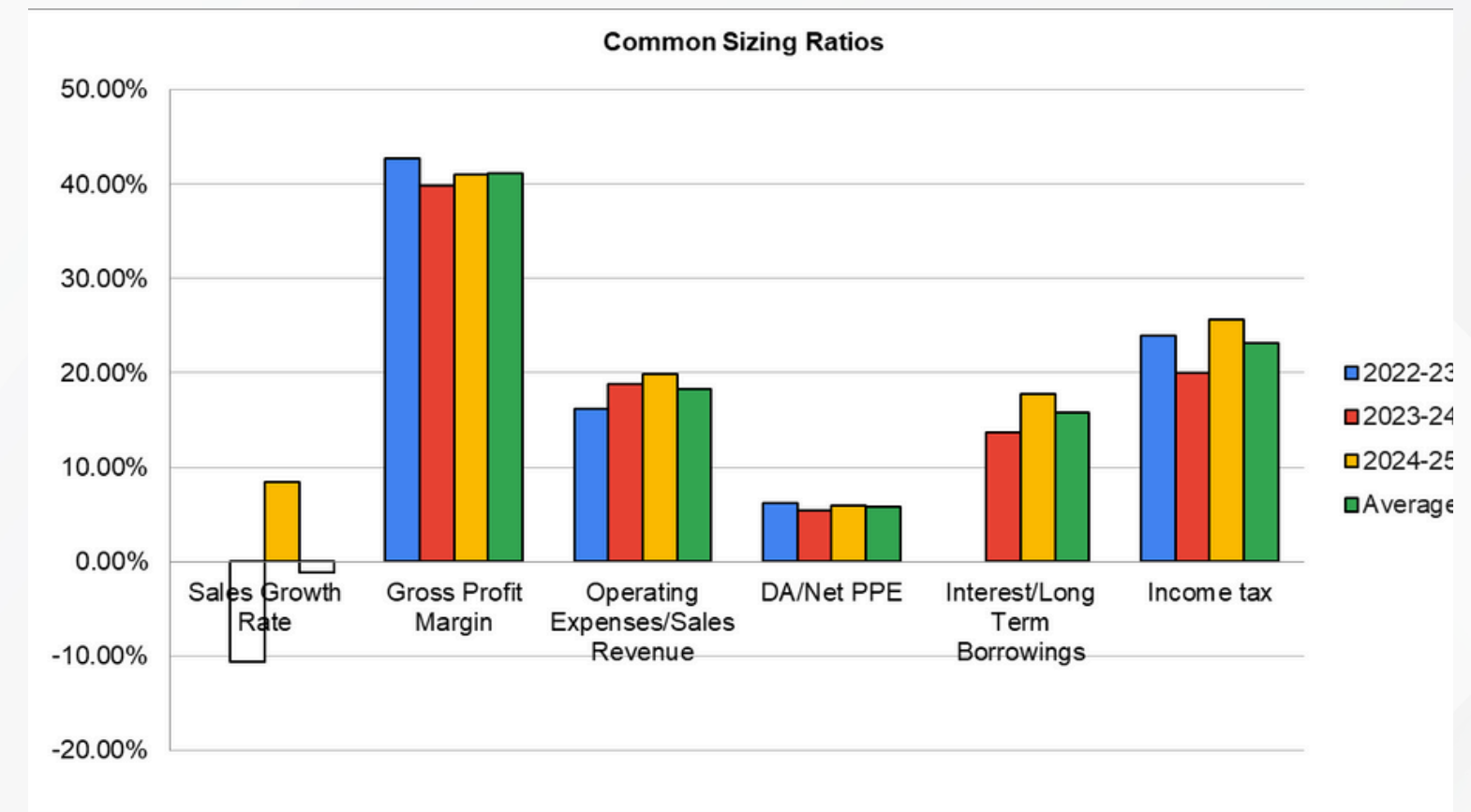
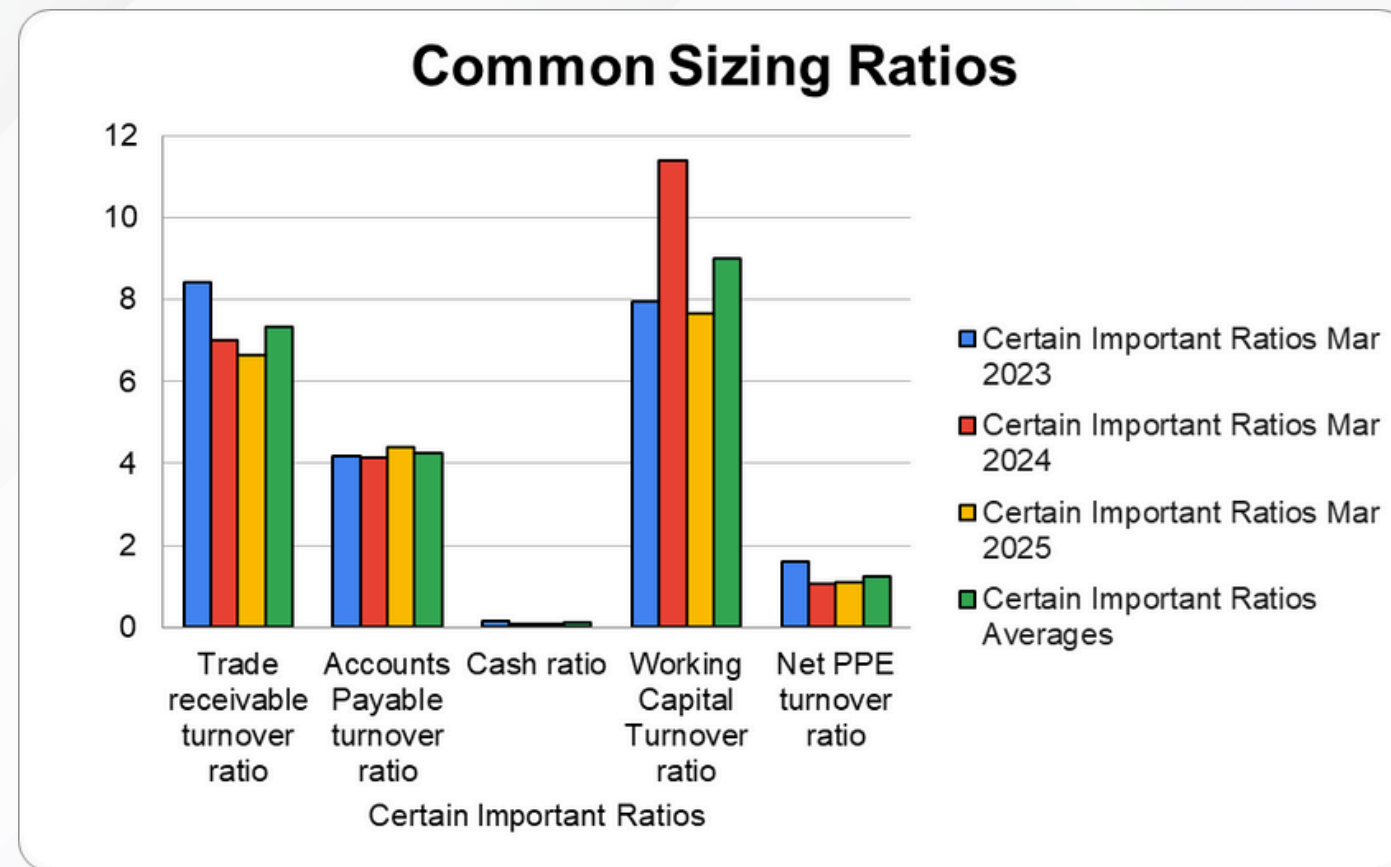
INCOME STATEMENT ANALYSIS



FCFF & FCFE Projections



Common Sizing Analysis



The following inferences can be made from the above graphs:

- Receivables downward trend - collection risk rising. Receivable turnover fell from roughly 8.3 → 6.6, which means cash is coming in slower
- Profitability base is stable, which is evident from the Gross margins~40% (steady), yet rising operating expenses (18-20%) and higher interest burden are compressing overall Net Profits.
- Sales volatility with tax/interest drag reduces free cash flow. A negative growth period (-10%) followed by recovery (+8%) makes earnings volatile
- Capex/asset inefficiency - PPE turnover signals lower fixed-asset productivity. Net PPE turnover declines, and depreciation relative to PPE is increasing, implying lower returns on assets

WACC AND GROWTH RATE

Cost of Capital

Beta Equity (Regression)
0.8842

Cost of Equity (CAPM)
18.05% (R_f 6.56% + β 0.8842 $\times$ Market Risk Premium 14%)

Cost of Debt (Synthetic Rating)
8.06% (A+ rating, Default Spread 1.50%)

Market Value of Equity
₹85,872 Crores (₹2,897/share $\times$ 296.4M shares)

Market Value of Debt
₹4,726 Crores

Cost of Capital (WACC)
17.43% (94.78% equity weighted + 5.22% debt weighted)

Growth Rate used for Terminal value

**Terminal Growth rate using
reinvestment rate and ROE capital**
9.11%
(ROE 10.96% $\times$ Retention 83.17%)

**Terminal Growth rate using
reinvestment rate and ROA capital**
5.85%
(ROA 7.03% $\times$ Retention 83.17%)

We took last 5 years rate of return of the company as the last three years data gave a huge difference between FCFF and FCFE due to very less dependence on debt and due to the large presence of equity we needed a higher value of return on equity to proportionately discount FCFE.

REFERENCES

- LINK FOR COLLAB
- LINK FOR SPREADSHEET